1. Define the entry and exit strategy accurately and strictly. There should be no room left for subjectivity. For instance, we determine that the ADX should be greater than 25 and there should be a crossover between 9DMA and 45 DMA. So, we will enter all trades only when this condition is satisfied. Similarly, we will also fixate on an exit signal. We will exit whenever the 9DMA crosses back 45 DMA, for instance.

2. Next, we will go back to a particular date on the chart. The day or time should at least be a 1000 candles back. So, if we are using a daily chart, we will at least go back 5 years. In the case of a 5-minute chart, we will go back at least 30 days.

3. Next, we will move ahead one day at a time and whenever the entry signal we mention comes to pass, we will enter the trade. We will then take the exit when the exit signal hits.

4. Irrespective of losses or profits, we will go ahead one day at a time and list down all the trades that we take and whether we make a profit or loss in each trade.

5. Once we have this list ready, we can calculate all the metrics mentioned on the previous page. We can calculate the hit ratio, average profit %, average loss %, drawdown and so forth. The result will tell us whether or not the strategy is working.